

Deepak Nitrite Ltd

Concall Tracker · Q1 FY2027 (quarter ended 30 June 2026) · NSE: DEEPAKNTR · Report prepared 20 Aug 2026

Not investment advice. Do your own due diligence. An AI-generated reading of the company's earnings-call transcripts and filings.

1 Snapshot

Deepak Nitrite makes industrial chemicals across two businesses: **Advanced Intermediates** — specialty building-block chemicals sold to agrochemical, dye, pigment and pharmaceutical makers — and **Phenolics**, which makes **phenol and acetone** (basic chemicals used to make plastics, paints, laminates, glues and medicines) plus the solvents IPA, MIBK and MIBC. Seven plants, five locations, customers in 50+ countries, but roughly 85% of sales are inside India.

Item	Number	What it means in plain words
Market value	₹23,874 cr	What the whole company is priced at on the stock market. Share price ₹1,750; the last year's range was ₹1,280–₹1,904.
Group sales, FY26	₹7,947 cr	Whole group. Down 5% on FY25's ₹8,366 cr. Five years of going sideways.
Group EBITDA, FY26	₹1,041 cr (13%)	EBITDA = cash operating profit before interest, tax and wear-and-tear. 13 paise per rupee of sales, down from 17 paise in FY23.
Group net profit, FY26	₹551 cr	What was left for shareholders. Was ₹811 cr in FY24 — a 32% fall in two years.
Parent-company sales, FY26	₹2,639 cr	The Advanced Intermediates business alone — the number Screener shows. Flat for five years (₹2,511 cr in FY22).
Parent operating margin	26% → 9%	Fell from 26 paise per rupee of sales in FY22 to 9 paise in FY26; operating profit down 65%, ₹646 cr to ₹225 cr, on no sales growth. The ugliest fact in the file.
ROCE (parent)	7.36%	Return on capital employed — profit per rupee of money tied up. Below a bank fixed deposit. It was 31% in FY22.
P/E ratio (as reported)	104	Price paid per rupee of annual profit. Screener's 104 divides ₹23,874 cr by the <i>parent's</i> ₹223 cr trailing profit. Against the <i>group's</i> FY26 profit of ₹551 cr it is 43; against Q1 FY27's run-rate (₹345 cr × 4) about 17. That is the arithmetic.
Debt	0.27× equity	Net worth ₹6,214 cr against roughly ₹1,700 cr of borrowing. Comfortable today; peak debt guided at ₹8,000–8,500 cr once the big project is built.
Owners	49.3% promoter	Founders hold just under half. Indian institutions climbed from 18.0% (Sep 2023) to 23.8%; small shareholders fell from 5.7 lakh to 3.8 lakh.

Read this before anything else: two different companies wear the same name

The Screener figures for DEEPAKNTR are **parent-company only**, and the parent is the Advanced Intermediates business — its FY24 sales of ₹2,724 cr match that segment's revenue of ₹2,724 cr exactly, and FY25's ₹2,526 cr matches ₹2,527 cr. The Phenolics business (₹5,805 cr of revenue in FY25) sits in a **subsidiary, Deepak Phenolics**; the polycarbonate project sits in another, **Deepak Chem Tech**. Neither appears in the parent's sales line.

Two consequences. First, the "26% to 9%" collapse is the collapse of the *specialty intermediates* business, not the group; on group numbers the fall is a milder 17% to 13%. Second, the odd quarter resolves itself: **Sep 2025's ₹112 cr net profit on only ₹47 cr of operating profit is not a one-off windfall** — it is the annual dividend the subsidiary pays up to the parent (₹91 cr FY26, ₹98 cr FY25, per the Q4 FY26 call), landing in "other income" every

September; the same spike appears in Sep 2023 (₹89 cr) and Sep 2024 (₹110 cr). Real cash, but the parent counting the subsidiary's profit twice. Ignore it; use group numbers or segment EBIT.

2 Concall coverage

Quarter	Call date	Transcript read?	Quarter	Call date	Transcript read?
Q1 FY27	6 Aug 2026	Yes — in full	Q3 FY25	17 Feb 2025	Yes
Q4 FY26	18 May 2026	Yes	Q2 FY25	14 Nov 2024	Yes
Q3 FY26	13 Feb 2026	Yes	Q1 FY25	Aug 2024	Yes
Q2 FY26	14 Nov 2025	Yes	Q4 FY24	22 May 2024	Yes
Q1 FY26	14 Aug 2025	Yes	Q3 FY24	Feb 2024	Yes
Q4 FY25	29 May 2025	Yes	FY21–FY23 (11 calls)	Feb 2021 – Feb 2023	Yes — scanned for project promises

Screener lists 40 conference calls. **23 transcripts were obtained and read**; the older ones (pre-2021) have no working download link. The Q1 FY27 call of 6 August 2026 was read in full, question by question. The commissioning timeline in Section 5 is built from the 12 most recent calls, covering every date the company has given for the projects now in flight.

Latest concall highlights — Q1 FY27 (call Aug 2026)

- **Record quarter across the board.** Group revenue ₹2,592 cr (+35% year-on-year, +22% sequentially), EBITDA ₹554 cr (+159%), margin 21% against 11%, net profit ₹345 cr (+207%). Plainly: sales rose a third, cash operating profit two and a half times. Screener's parent-only figures — sales ₹807 cr, operating profit ₹110 cr, net profit ₹65 cr — are the Advanced Intermediates slice of the same quarter.
- **Phenol and acetone did almost all of it.** Phenolics revenue ₹1,775 cr, EBIT (operating profit after wear-and-tear) ₹418 cr, up 254%, a 24% margin — **86% of group segment profit off 69% of revenue.** Advanced Intermediates: ₹804 cr revenue, just ₹67 cr EBIT, an 8% margin, less than half the 17–18% management called "normal" in February 2025.
- **The recovery was not a duty gift — it happened despite one.** Maulik Mehta: "for a large part of the quarter, I think the entirety of the quarter, the Government had actually removed the import duty on phenol... imports as they came, came in duty-free." The duty is now reimposed, so Q2 gets a tailwind Q1 did not have.
- **The China story reversed.** Sanjay Upadhyay: "no new capacities are coming up... China is largely self-sufficient... actually, there is a short supply today." Twelve months earlier the same management opened its Q1 FY26 call with "continued oversupply from China has impacted the pricing."
- **Plants finally arriving — after long delays.** MIBK, MIBC and acetophenone "will be commissioned... in August itself"; the multipurpose agrochemical and alkylation plants slipped again ("slated for commissioning a couple of months earlier, but Q1 also had a disruption where contractual manpower was not available. There was a natural gas shortage") and are now promised "within Q2." Commercial volumes only "from January."
- **The ₹11,500 cr project slipped a year, but got its funding.** Polycarbonate is now targeted for **H2 FY29** (confirmed as "FY28-29" on the call) against "before March 2028" nine months ago. Offsetting that: ₹6,800 cr of debt tied up at 60:40, 25% of the equity injected, ₹1,200 cr spent.

3 Business mix & capacity

Segment split, Q1 FY27 (group). Phenolics ₹1,775 cr revenue / ₹418 cr EBIT (24% margin) — 69% of sales, 86% of profit. Advanced Intermediates ₹804 cr / ₹67 cr (8% margin) — 31% of sales, 14% of profit. **Plain read: the group is now a phenol business with a specialty-chemicals side project attached.** In FY24 the split was far more balanced — Advanced Intermediates earned ₹446 cr of EBIT at a 16.4% margin, more than six times what it earns today.

Domestic vs export. Group 85:15 in Q1 FY27 (86:14 FY26, 83:17 FY25, 80:20 FY24). Phenolics is "almost entirely domestic"; Advanced Intermediates is "roughly 50-50" — which is why the China price war hit the parent and left Phenolics alone. **Plain read: Indian demand carries this company, and exports are shrinking as a share.**

Capacity and utilisation. Phenol capacity is not formally disclosed; management describes a run-rate of "close to 1 lakh tonnes" a quarter (about 400,000 tonnes a year) reached in parts of Q1, up from an original nameplate near 200,000 tonnes, on cumulative debottlenecking spend of "₹80 crore to ₹100 crore" with "₹70-odd crore" more to come — the annual report implies about 170% of original nameplate. A further 300,000-tonne phenol plant is planned in Deepak Chem Tech, tied to new propylene supply. **Advanced Intermediates utilisation and the capacities of MIBK, MIBC and acetophenone are not disclosed** — asked directly for acetophenone capacity: "I think we should be able to give you that answer soon"; on utilisation, Upadhyay said only "Capacity, we are running full, but it was the realization which was lower." The only hard utilisation figure given recently was the nitric acid plant at **45%** in Q4 FY26, on technical faults.

4 Earning-trigger thesis

Is there a real earning trigger here?

Yes — and Q1 FY27 is evidence, not a promise. But be precise about what the trigger is. Roughly six-sevenths of the profit jump came from **phenol and acetone spreads and volumes**: the gap between what benzene and propylene cost and what phenol sells for widened, and Deepak ran the plant harder than ever. That is a commodity cycle turning, and cycles turn back. Management will not quantify it — "I refrain from commenting on spreads" — which makes the largest driver of group profit impossible for an outsider to audit. Underneath the cycle there is a genuinely new, structural layer: cheap debottlenecking that lifted phenol output by half, and the completed ammonia-to-nitric-acid-to-amines chain that makes the specialty business its own supplier. That layer is small so far (Advanced Intermediates EBIT of ₹67 cr) but real and cycle-independent. The ₹11,500 cr polycarbonate project contributes nothing before FY29.

Trigger	What management said	Evidence so far	Time horizon	Strength
Phenol / acetone spread and volume recovery (cyclical)	"No new capacities are coming up... China is largely self-sufficient... there is a short supply today." Refused to give spread numbers.	Hard and immediate: Phenolics EBIT ₹418 cr at a 24% margin against roughly ₹118 cr a year earlier — and earned <i>with</i> the phenol import duty suspended all quarter, so the duty's return helps Q2. But none of it is verifiable from outside, and the same margin was 13% across FY25.	Now; one to three quarters of visibility	Strong but cyclical
Phenol debottlenecking to 400,000 tonnes (new, structural)	"₹80 crore to ₹100 crore" spent to date, "₹70-odd crore" more to touch 4 lakh tonnes. "Advanced process controls... The only thing that has changed is confidence."	Delivered and cheap — roughly doubling output for under ₹200 cr of capital is the best return in the file. The run-rate was hit in parts of Q1 only; April went to a preponed shutdown and propylene shortage.	Now, continuing through FY27	Strong
Backward integration: nitric acid, nitration, hydrogenation (new, structural)	"We're no longer a nitration company that buys nitric acid. We're now a nitrogen company that nitrates." Earlier target: ₹90–100 cr of extra EBITDA a year.	Complete and stabilised, a year late. Ran at only 45% in Q4 FY26 on technical faults, forcing outside nitric acid purchases. Advanced Intermediates EBIT of ₹67 cr against ₹35 cr suggests it is starting to work, but the ₹90–100 cr target has never been confirmed as met.	Two to four quarters	Medium
MIBK, MIBC, acetophenone	"MIBK as well as MIBC will be commissioned along with acetophenone in August itself... we should be able to ramp up to beyond 100% very quickly." Margin "either in line or better"	Earning nothing yet. Quality approved and pre-commissioning norms met, which is genuine — but the plant was promised for Q1 FY25 and is arriving in Q2 FY27, and no capacity, revenue or margin figure has ever been given.	Q2 FY27 onwards; meaningful from FY28	Medium

than Advanced Intermediates average.

Asked directly: "I'll refrain from answering that question."

Multipurpose agrochem intermediates, fluorination, flow chemistry	"Commercial volumes... begins from January." Flow chemistry: "what you will see coming into play in the next financial year, not this financial year."	Weakest seam. The fluorination plant was commissioned in Q4 FY24 and has shown no visible earnings in nine quarters; its downstream slipped to Q1 FY27 and is now merely "progressing through customer qualifications." Multipurpose plants slipped again on manpower and gas.	FY28	Weak
₹11,500 cr propylene-to-polycarbonate chain	"I would anticipate that we would target H2 for our polycarbonate commissioning" — confirmed as FY28-29. Debt tied up: ₹6,800 cr at 60:40; peak debt ₹8,000–8,500 cr, "will not cross even 1" times equity.	Funding is strong — banks committed, 25% of equity in, compounds qualified with Mahindra, Panasonic, Goldmedal and Tata AutoComp. Execution is not: only ₹1,200 cr of ₹11,500 cr spent (10%), and the date has moved 2027 → March 2028 → H2 FY29 while the cost went ₹5,000 cr → ₹11,500 cr.	FY29–FY30	Weak on timing

5 Management consistency scorecard

Period	Promised	What happened	Verdict
May 2023 (Q4 FY23)	"In the first quarter of FY2025 we are scheduled to commission our MIBK and MIBC plants."	Restated eight times: "by December 2024" (Feb 2024) → "next 6–12 months" (Nov 2024) → "H1 FY2026" (Feb 2025) → "H2 FY26" (Aug 2025) → "by March 2026" (Nov 2025) → "within this quarter" (Feb 2026) → "Q2 FY27" (May 2026) → "in August itself" (Aug 2026). About 28 months late, still not selling commercially.	NO
May 2023	Fluorination and photochlorination "will be commissioned in Q3" FY24; polycarbonate compounding, ₹250 cr sanctioned, "commissioned over the next 18 months."	Fluorination commissioned Q4 FY24, one quarter late — essentially on time. Compounding was built but still called "a pilot facility in Savli" in Nov 2025. The <i>assets</i> arrived; the <i>earnings</i> did not. Photochlorination utilisation was pushed to Q1 FY27 and fluorination downstreams are still in customer qualification.	PART
Nov 2024 (Q2 FY25)	"The nitric acid project is expected to be commissioned in H2 FY25."	Slipped to Q1 FY26, then Q2 FY26, then "this quarter" (Nov 2025), finally commissioned mid-December 2025 — about a year late, and out of step with the nitration plant it was meant to feed, which management conceded cost them Q3 FY26: "it was a good plan, unfortunately, because nitric acid got delayed." Ran at 45% in Q4 FY26; working properly only from Q1 FY27.	NO
Feb 2025 (Q3 FY25)	On parent margins: "that course was relatively range-bound between... 18% to 20%... around 17%, 18% is the target that we should look at... on a standalone basis."	Parent operating margin was 12% in FY25, 9% in FY26, and 14% in Q1 FY27; Advanced Intermediates EBIT margin is 8%. Better, but well short after six quarters. In fairness, this was framed as a target to return to, not a date.	NOT YET
Nov 2025 (Q2 FY26)	"Our endeavour is to complete... by March 2028... we have reaffirmed our start date as before March 2028" for the polycarbonate complex. Outlay "around ₹9,000 crore."	Nine months later the target is H2 FY29 and the cost ₹11,500 cr . The Nov 2025 caveat — "if there's a delay in propylene supply, then we may have to push back our project" — is exactly what happened, so the risk was flagged. It still moved.	NO
Nov 2025	"The multi-purpose plants, which are going to be commissioned between March and May 2026."	Not commissioned. Moved to Q2 FY27, blamed in Aug 2026 on contract-labour unavailability and a national gas shortage. Still pending.	NO
YES			

May 2026 (Q4 FY26)	"In FY27, we expect a stronger margin profile, even for the standalone business, compared with FY26... FY27 will be this period where you will see an improving trend."	Delivered, emphatically. Group EBITDA margin 11% → 21% year-on-year, parent operating margin 10% → 14%, parent net profit ₹30 cr → ₹65 cr. The one recent promise kept quickly — and the reason to keep listening.	
May 2026	Capex funding for the ₹11,500 cr project would be arranged.	Done. "The entire debt has been tied up at a very competitive rate and terms... We were required to put in around 25% of the equity, which we have already done." Debt-to-equity 0.27× today, peak guided under 1×.	YES

Narrative drift. Two drifts matter. The first is **the diagnosis of the problem**. Through FY25 and most of FY26 the explanation for collapsing margins was Chinese oversupply and dumping — "continued oversupply from China has impacted the pricing" (Aug 2025), and a candid FY25 admission that competitors' plants were running "well below" the utilisation needed to be profitable. By August 2026 it has flipped: "no new capacity... China is largely self-sufficient... there is no oversupply in the market... there is a short supply today." Both statements came without a single number. When the same management describes the same market as oversupplied and then short-supplied twelve months apart, the honest conclusion is that **nobody on the call, management included, can tell you whether the margin collapse was cyclical or structural — the recovery is being narrated after the fact, not forecast**. The blanket refusal to discuss spreads is defensible for a commodity producer, but it removes the only auditable driver of 86% of group profit.

The second drift is **from dates to language**. Early calls gave crisp quarters. As slippage accumulated the vocabulary softened to "on track", "in line with our execution road map", "progressing well" — used about MIBK/MIBC in Feb 2024, Nov 2024, Feb 2026 and May 2026, each time for a plant that then slipped again. Asked directly in February 2026 about "the delay of close to 2 years", management gave a genuinely good answer: they bet on divided-wall-column technology no one else in the chemistry uses, hit construction problems, and "our original schedule, it was ambitious." That is honest engineering candour, and the analyst's reply is the fairest verdict available: *"it would be helpful... if you could indicate that the timeline is tentative rather than exact."* The pattern to hold is that **Deepak's plants do get built and do work — one to two years after the date given**. Discount every commissioning date accordingly, H2 FY29 included.

6 Bottom line

EARNING TRIGGER: YES — but it is a cycle first and a machine second.

Q1 FY27 is not a promise, it is a result: group EBITDA of ₹554 cr in one quarter against ₹1,041 cr for all of FY26, at a 21% margin against 13%. That is not noise, and it was earned while the phenol import duty was suspended all quarter — the duty is now back, so that tailwind sits in Q2. Two genuinely durable additions sit underneath: phenol output lifted by roughly half for under ₹200 cr of capital, and a completed ammonia-to-amines chain that finally makes the specialty business its own supplier. But be clear-eyed about proportion. **86% of segment profit came from a commodity spread management refuses to quantify**, in a business whose EBIT margin was 13% across FY25 and is 24% now. The new plants — MIBK, MIBC, acetophenone, the multipurpose units — contributed *nothing* to this quarter; they were commissioning as the call happened, with commercial volumes starting "from January." The trigger is real and visible in the accounts today, but its durability rests on a spread nobody outside can see, and the cycle-independent layer is still only ₹67 cr a quarter. Watch Q2 FY27: if the 24% Phenolics margin holds with duty protection restored, the cyclical reading is too pessimistic; if it halves, this quarter was a spread spike dressed as a turnaround.

MANAGEMENT CONSISTENCY: NO on calendars and costs — YES on money and machines.

The record on dates is bad and unambiguous. MIBK and MIBC were promised for Q1 FY25 and restated eight times before arriving in August 2026, about 28 months late. Nitric acid was promised for H2 FY25, commissioned in December 2025 out of step with the plant it was built to feed, then ran at 45%. The multipurpose plants promised for March–May 2026 are still not commissioned. And the flagship has gone from "completed by 2027" on a ₹5,000 cr MoU to H2 FY29 at ₹11,500 cr — two years later at more than double the cost, with 10% of the money spent. Set against that: the debt was tied up exactly as promised; the FY27 margin guidance given in May 2026 was delivered inside a quarter; phenol debottlenecking keeps beating its own targets; and challenged on the delay, Maulik Mehta neither denied it nor hid behind jargon: "there has been a delay, no doubt about it... our original schedule, it was ambitious." **A competent operator and a straight talker with a chronic, admitted inability to forecast a commissioning date**. Trust the engineering and the balance sheet, add twelve to twenty-four months to every date given, and build no polycarbonate revenue before FY30.